GOOGL vs MSFT

This brief compares scale, margin quality, and funding profile across GOOGL and MSFT, anchored to the latest annual filings.

Net Income

$132B

Prior: $102B

Free Cash Flow

$73.3B

Prior: $71.6B

Debt-to-Equity

0.12x

Prior: 0.14x

Current Ratio

2.01x

Prior: 1.35x

At a glance

- Net income is $132B, indicating current earnings scale.
- Balance sheet reads at 0.12x debt-to-equity and 2.01x current ratio.
- Free cash flow is $73.3B, a key check on earnings conversion quality.

Executive Summary

The peer set shows clear differences in scale, profitability, and balance-sheet posture. The key read is not a single ratio winner, but how each company converts revenue into earnings while managing leverage and cash discipline.

Profitability

- Return on equity is 31.8%; this indicates shareholder-capital productivity.

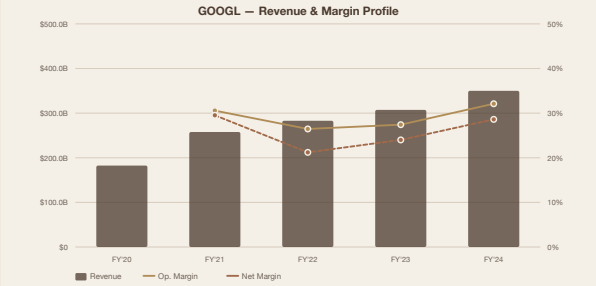
Balance Sheet & Liquidity

- Debt-to-equity is 0.12x; this frames leverage sensitivity and refinancing exposure.
- Current ratio is 2.01x; this measures near-term liquidity headroom.

Cash Flow & Risk

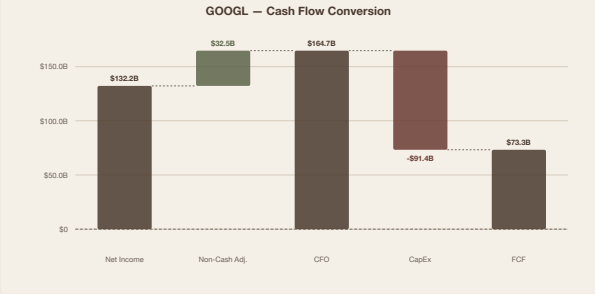
- Free cash flow is $73.3B; this tests earnings quality and funding flexibility.
- Operating cash flow is $165B; this shows internal cash generation capacity.

Visual Highlights I



Revenue Growth & Margin Profile

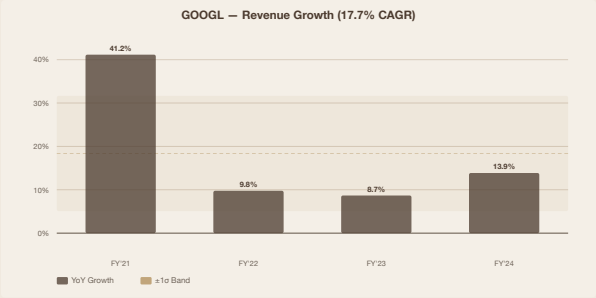
Revenue trend and margin structure across the most recent annual periods.



Cash Flow Conversion

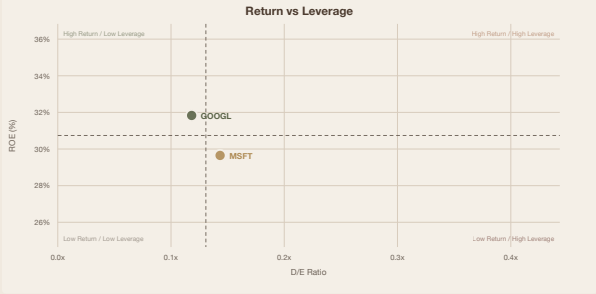
Bridge from earnings to free cash flow to assess conversion quality.

Visual Highlights II



Revenue Growth

Year-over-year growth path and stability over the latest annual periods.



Return vs Leverage

Relative position of return profile against leverage intensity.

Key Metrics Dashboard

Profitability

Metric	GOOGL	MSFT
Operating Margin	N/A	45.6%
Net Margin	N/A	36.1%
Gross Margin	N/A	68.8%
Return on Equity	31.8%	29.6%
Return on Assets	22.2%	16.4%

Liquidity & Leverage

Metric	GOOGL	MSFT
Current Ratio	2.01x	1.35x
Quick Ratio	2.01x	1.35x
Debt-to-Equity	0.12x	0.14x

Key Metrics Dashboard (Cont.)

Scale (1/2)

Metric	GOOGL	MSFT
Revenue	N/A	$282B
Net Income	$132B	$102B
Operating Income	$129B	$129B
Total Assets	$595B	$619B
Stockholders' Equity	$415B	$343B

Scale (2/2)

Metric	GOOGL	MSFT
Total Liabilities	$180B	$276B

Key Metrics Dashboard (Cont.)

Cash Flow & Per Share

Metric	GOOGL	MSFT
Operating Cash Flow	$165B	$136B
Free Cash Flow	$73.3B	$71.6B
Capital Expenditures	$91.4B	$64.6B
Earnings Per Share (Diluted)	$10.81	$13.64
Book Value Per Share	$34.35	$46.20

Commentary

What stands out

- ROE of 31.8% indicates efficient use of shareholder capital.
- Revenue growing at 17.7% CAGR — strong top line growth.
- Current ratio of 2.01 indicates solid liquidity.

Watch items

- GOOGL: No major quantitative warning signal in the current threshold set.
- MSFT: No major quantitative warning signal in the current threshold set.

Analyst interpretation

- GOOGL: 3 strength signals, 0 risk signals.
- MSFT: 3 strength signals, 0 risk signals.

Appendix

Appendix A — GOOGL Income Statement

Metric	FY2025	FY2024	FY2023
Revenue	N/A	$350B	$307B
Cost of Revenue	$163B	$146B	$133B
Operating Expenses	$274B	$238B	$223B
Operating Income	$129B	$112B	$84.3B
Net Income	$132B	$100B	$73.8B
EPS (Basic)	$10.91	$8.13	$5.84
EPS (Diluted)	$10.81	$8.04	$5.80
R&D Expenses	$61.1B	$49.3B	$45.4B

Appendix B — GOOGL Balance Sheet

Metric	FY2025	FY2024	FY2023
Shares Outstanding	12.09B	12.21B	12.46B
Total Assets	$595B	$450B	$402B
Total Liabilities	$180B	$125B	$119B
Stockholders' Equity	$415B	$325B	$283B
Current Assets	$206B	$164B	$172B
Current Liabilities	$103B	$89.1B	$81.8B
Cash & Equivalents	$30.7B	$23.5B	$24.0B
Total Debt	$49.1B	$12.0B	N/A
Long-Term Debt	$49.1B	$12.0B	$14.9B
Short-Term Debt	$2.00B	$1.00B	$1.00B
Accounts Receivable	$62.9B	$52.3B	$48.0B
Goodwill	$33.4B	$31.9B	$29.2B

Appendix (Cont.)

Appendix C — GOOGL Cash Flow Statement

Metric	FY2025	FY2024	FY2023
Operating Cash Flow	$165B	$125B	$102B
Capital Expenditures	$91.4B	$52.5B	$32.3B
Investing Cash Flow	-$120B	-$45.5B	-$27.1B
Financing Cash Flow	-$37.4B	-$79.7B	-$72.1B
Dividends Paid	$10.0B	$7.36B	$0.00B
Share Repurchases	$45.7B	$62.2B	$61.5B

Appendix D — MSFT Income Statement

Metric	FY2025 (Jun)	FY2024 (Jun)	FY2023 (Jun)
Revenue	$282B	$245B	$212B
Cost of Revenue	$87.8B	$74.1B	$65.9B
Gross Profit	$194B	$171B	$146B
Operating Expenses	$65.4B	$61.6B	$57.5B
Operating Income	$129B	$109B	$88.5B
Net Income	$102B	$88.1B	$72.4B
EPS (Basic)	$13.70	$11.86	$9.72
EPS (Diluted)	$13.64	$11.80	$9.68
R&D Expenses	$32.5B	$29.5B	$27.2B

Appendix (Cont.)

Appendix E — MSFT Balance Sheet

Metric	FY2025 (Jun)	FY2024 (Jun)	FY2023 (Jun)
Shares Outstanding	7.43B	7.43B	7.43B
Total Assets	$619B	$512B	$412B
Total Liabilities	$276B	$244B	$206B
Stockholders' Equity	$343B	$268B	$206B
Current Assets	$191B	$160B	$184B
Current Liabilities	$141B	$125B	$104B
Cash & Equivalents	$30.2B	$18.3B	$34.7B
Total Debt	$49.2B	$51.2B	$52.9B
Long-Term Debt	$43.2B	$44.9B	$47.2B
Inventory	$0.94B	$1.25B	$2.50B
Accounts Receivable	$69.9B	$56.9B	$48.7B
Goodwill	$120B	$119B	$67.9B

Appendix F — MSFT Cash Flow Statement

Metric	FY2025 (Jun)	FY2024 (Jun)	FY2023 (Jun)
Operating Cash Flow	$136B	$119B	$87.6B
Capital Expenditures	$64.6B	$44.5B	$28.1B
Investing Cash Flow	-$72.6B	-$97.0B	-$22.7B
Financing Cash Flow	-$51.7B	-$37.8B	-$43.9B
Dividends Paid	$24.1B	$21.8B	$19.8B
Share Repurchases	$18.4B	$17.3B	$22.2B

Data Sources & Notes

- GOOGL 10-K (2026-02-05) — https://www.sec.gov/Archives/edgar/data/1652044/000165204426000018/goog-20251231.htm
- MSFT 10-Q (2026-01-28) — https://www.sec.gov/Archives/edgar/data/789019/000119312526027207/msft-20251231.htm
- MSFT 8-K (2026-01-28) — https://www.sec.gov/Archives/edgar/data/789019/000119312526027198/msft-20260128.htm
- MSFT 8-K (2025-12-08) — https://www.sec.gov/Archives/edgar/data/789019/000119312525311196/d34077d8k.htm
- MSFT 10-Q (2025-10-29) — https://www.sec.gov/Archives/edgar/data/789019/000119312525256321/msft-20250930.htm

Source: SEC EDGAR filings. Retrieval date: 2026-03-05.

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